

Finance of America (NYSE: FOA)

Analyst: Kenneth Kim

Yearly \$350M increase in residual value expected, the biggest beneficiary of rate cut in the industry

STOCK RATING	PRICE TARGET	PRICE (09/15/25)	UPSIDE
BUY	\$50.94	\$25.85	97%

BUSINESS OVERVIEW

Finance of America Companies Inc. is a financial company that became the largest reverse mortgage operator in the United States. Following the divestiture of non-core business units and the strategic acquisition of American Advisors Group (AAG), the company now holds a 31% share of the Home Equity Conversion Mortgage (HECM) backed securities (HMBS) issuance market. FOA is one of just four companies that originate non-agency reverse mortgages and is one of only two that securitizes them. This direct access to the bond markets provides FOA with a significant advantage in capital flexibility.

THESIS HIGHLIGHTS

Thesis 1: The Market Overlooks 'Residual Value' and Its Exclusive Profit Structure

As of December 2023, FOA holds \$7.3 billion in non-agency HECM securitizations (HomeSafe securitizations), which have been issued since 2018. The company generates a net interest margin of approximately 4.8% by collecting a floating mortgage rate (averaging 7.9%) from borrowers while paying a fixed rate (averaging 3.2%) to bond investors. This translates to an annual spread of about \$350M. This profit accrues as residual value, which can be monetized by exercising a call option to re-securitize these bonds. The first mandatory repurchase date was in April 2025, and this "rollover" process is now underway.

Thesis 2: Favorable Macroeconomic Trend Synergy with Structural Growth Factors

The market's current trajectory towards interest rate cuts is expected to re-stimulate housing demand that has been suppressed since 2022. This macroeconomic tailwind, combined with the demographic trend of the baby boomer generation's significant home equity (\$14 trillion) and the structural demand for reverse mortgages, is poised to create a powerful synergy for FOA, given its dominant 31% market share.

- Accelerated Lending Demand:** Lower interest rates will enhance the appeal of reverse mortgage products, directly driving new loan and refinancing demand. This will increase fee-based revenues including Mortgage Servicing Rights (MSRs).
- Enhanced Securitization Value:** A lower rate environment provides more favorable conditions for re-securitizing existing assets (as demand increases for relatively high-return securitized bond), allowing FOA to maximize cash flow from its residual value.
- Asset Appreciation:** A reduction in interest rates directly increases the company's asset value. A 25bp rate cut is projected to increase asset value by approximately \$87.7M, not including any potential new lending demand.

THESIS RISKS

Thesis Risk 1: Leverage Risk

The company's balance sheet shows a very high degree of leverage, with total liabilities nearly equal to total assets, indicating a minimal equity proportion. This makes the company highly vulnerable to even minor losses that could result in capital impairment.

- Mitigant:** Given the inherent business structure of reverse mortgage companies, where most debt is backed by customer collateral, HMBS-related debt and nonrecourse debt should not be viewed as risk factors. Furthermore, the average LTV ratio for company's reverse mortgage products is low, at approximately 43%, which further mitigates the risk of collateral erosion.

Thesis Risk 2: Earnings Quality and Sustainability Risk

A significant portion of the company's net income is derived from fair value accounting (\$80M vs. \$14M in adjusted net income). This suggests that the company's ability to generate cash flow is much lower than its reported net income, and its earnings are highly sensitive to market volatility (home prices, interest rates etc.) and changes in valuation model assumptions.

- Mitigant:** As a cyclical financial services company, FOA's performance is naturally volatile and correlated with economic cycles. This characteristic is typically factored into current valuations by sophisticated investors. Furthermore, the DCF valuation model applies conservative assumptions to key variables, ensuring the price targets fully reflect the business model's inherent volatility and risks while maintaining appropriate upside potential in a rate-cutting scenario.

SECTOR
Mortgages
INDUSTRY
Reverse Mortgage, Securitization

MARKET DATA

Ticker	FOA
Exchange	NYSE
Market Cap	\$286.4mm
Shares Outs.	11.08mm
Free Float (%)	42.78%
52 Week Range	\$10.00–32.40

HISTORICAL PRICE ACTION



USD per share, daily close

MODEL (DCF)

EBITDA	\$120M
Beta	1.51
Base FCF	\$84M
WACC	9.0%
Credit line Sensitivity	50%